M&A Final: 2-Hour Cram (Top 25 Most Likely Questions)

Use this for final revision only. Each question has a direct answer and a short explanation.

1) Multiples and EV/Equity Bridge

1 Q: Which multiple is equity-based?

A: P/E.

Why: P/E uses share price and earnings to equity holders.

1 Q: EV formula in one line?

A: EV = Equity Value + Debt + NCI + Preferred - Cash.

Why: EV is value of operations to all capital providers.

1 Q: If cash rises (everything else constant), what happens to EV?

A: EV decreases.

Why: Cash is subtracted in EV bridge.

1 Q: If you have EV, how do you get equity value?

A: Equity = EV - Debt - NCI - Preferred + Cash.

Why: Remove non-equity claims and add back cash.

1 Q: In comparables selection, what matters most?

A: Similar industry, growth, risk, margins, and size.

Why: Multiples are meaningful only with similar economics.

2) DCF and WACC Core

1 Q: FCFF should be discounted at what rate?

A: WACC.

Why: FCFF belongs to debt and equity investors.

1 Q: Constant-growth DCF formula for firm value?

A: Vfirm = FCFF1 / (WACC - g).

Why: Gordon growth model for perpetuity.

1 Q: If g increases while WACC fixed, DCF value does what?

A: Increases.

Why: Denominator (WACC - g) becomes smaller.

1 Q: CAPM cost of equity formula?

A: Re = Rf + beta_e * MRP.

Why: Equity return = risk-free + beta-scaled market premium.

1 Q: WACC formula?

A: WACC = We*Re + Wd*Rd*(1-Tc).

Why: Debt tax shield lowers effective debt cost.

3) Private Company and Beta Adjustments

1 Q: How to estimate beta for a private target?

A: Use pure-play public comparables, unlever then relever.

Why: Private firms do not have traded equity beta.

1 Q: Unlever beta formula?

A: beta_u = beta_e / [1 + (1-Tc)*D/E].

Why: Removes leverage effect from equity beta.

1 Q: Relever beta formula?

A: beta_e = beta_u * [1 + (1-Tc)*D/E].

Why: Applies target leverage effect.

4) Synergies and Offer Price Range

1 Q: What is total merger gain?

A: Combined value - standalone acquirer - standalone target.

Why: Incremental value created by the deal.

1 Q: Minimum acceptable total offer for target shareholders?

A: Around target standalone equity value.

Why: Below that, target is worse off than no deal.

1 Q: Maximum rational total offer for acquirer?

A: Target standalone equity + total merger gain.

Why: Paying above this destroys acquirer value.

1 Q: Premium in dollars formula?

A: Premium = Offer Price - Target Standalone Equity Value.

Why: Extra value transferred to target owners.

1 Q: If target standalone equity is 95.12 and merger gain is 22.38, max offer?

A: 117.50.

Why: 95.12 + 22.38 = 117.50.

5) Mixed Consideration, Exchange Ratio, and Deal Math

1 Q: Exchange ratio means what?

A: New acquirer shares paid per target share.

Why: It defines stock consideration quantity.

1 Q: Stock value paid per target share formula?

A: Exchange Ratio * Acquirer share issue price.

Why: Converts share count to dollar value.

1 Q: If offer/share = 40, exchange ratio = 0.8, acquirer share issue price = 20, cash proportion?

A: 60%.

Why: Stock value = 0.8*20 = 16, cash = 24, cash proportion = 24/40.

6) Goodwill, PMI, and Tactics

1 Q: Goodwill formula in acquisition accounting?

A: Goodwill = Purchase Price - Fair Value of Net Identifiable Assets.

Why: Residual paid above fair net assets.

1 Q: Is acquisition premium always equal to goodwill?

A: No.

Why: Premium references market standalone equity; goodwill references fair-value accounting adjustments.

1 Q: One major reason M&A fails after close?

A: Poor PMI (integration execution/culture mismatch).

Why: Synergies fail without effective integration.

7) LBO and Sell-Offs

1 Q: Core LBO return driver tested in exams?

A: Equity IRR from entry equity check, deleveraging, and exit equity value.

Why: High leverage magnifies equity outcomes; exit value and debt paydown are critical.

90-Minute Final Drill (Optional)

1. Re-solve one EV/Equity bridge question.
2. Re-solve one FCFF DCF question.
3. Re-solve one offer-range/synergy split question.
4. Re-solve one exchange-ratio mixed-payment question.
5. Re-solve one LBO IRR logic question.

If you can do these five without notes, you are in strong shape for this final format.